

Revision of NDI floor for applicants with dependants

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Internal Circular CIR-2025-014 formally announces the forthcoming revision to the Net Disposable Income (NDI) floor under Credit Policy v2, raising the threshold to RM 2,000 for applicants supporting three or more dependants with effect from 1 January 2026.

1.0 — Purpose and Background

This Circular (CIR-2025-014) is issued to inform all Credit Operations, Underwriting, Branch Network, and Business Development personnel of an upcoming amendment to the Company credit evaluation framework. In alignment with responsible financing guidelines and prudent underwriting standards, AEON Credit Service (M) Berhad will revise the existing flat Net Disposable Income (NDI) threshold to incorporate a tiered requirement based on applicant family dependency.

2.0 — Supersession and Effective Date

The provisions stated herein foreshadow the enforcement of Credit Policy v2 (effective 2026-01-01), which will supersede Credit Policy v1 (effective 2025-01-01). The transitional grace period runs until 31 December 2025, during which all pipeline systems and decision-engine scoring parameters must be recalibrated. Formal enforcement across all retail credit products takes effect strictly on 2026-01-01.

3.0 — Revision of NDI Thresholds

Under Credit Policy v1, Clause 3.1 enforced a uniform flat NDI floor of RM 1,500 post-facility drawdown across all applicants regardless of household profile. Under Credit Policy v2, Clause 3.1 maintains the baseline NDI floor at RM 1,500, but introduces Clause 3.2, which mandates an increased NDI floor of RM 2,000 where the applicant supports 3 or more dependants. NDI calculation must account for the projected net income minus total monthly statutory deductions and financing commitments after drawing down the approved facility.

4.0 — Impacted Retail Financing Products

The revised NDI requirement applies to all retail financing products offered by the Company, encompassing unsecured facilities (AEON Classic Visa, AEON Gold Visa, AEON Platinum Visa, and Personal Financing-i Tawarruq) as well as secured facilities (Motorcycle Hire Purchase-i, Auto Hire Purchase-i, and Product Objective Financing). No facility shall be approved if the projected post-financing NDI falls below the prescribed floor.

5.0 — Verification and Declaration of Dependants

Front-line sales and processing officers must ensure that the number of dependants declared in the application form is supported by relevant documentation. Dependants are defined as non-earning spouses, minor children below 18 years of age (or below 25 if pursuing full-time tertiary education), and elderly parents under the applicant direct care. Documentation requirements include marriage certificates, birth certificates, or formal statutory declarations where verification is requested by Credit Assessment.

6.0 — System Changes and Decision Engine Configuration

The Credit Risk Management and IT Applications teams must ensure the automated loan origination system incorporates the dependant-count variable to enforce the RM 2,000 NDI floor automatically. Applicants falling below the mandatory NDI floor cannot be routed via the automated approval path. Any policy deviation must be forwarded as an exception for Senior Underwriter review and approval.

7.0 — Implementation Timeline and Inquiries

Internal user acceptance testing (UAT) for the revised decision engine rules will commence on 1 December 2025 and conclude on 15 December 2025. Standard operating procedures and training materials will be distributed to branch personnel by 20 December 2025. For any operational clarifications concerning CIR-2025-014, branch

managers may escalate inquiries directly to the Retail Underwriting Policy Committee.

Schedule / Reference Table

Credit Policy Reference	Effective Period	Dependant Criterion	Mandatory NDI Floor	DSR Ceiling Threshold	Approval Routing Path
Credit Policy v1 (Clause 3.1)	2025-01-01 to 2025-12-31	Any count (0 to 2 dependants)	RM 1,500	60% (< RM 3,000 gross) / 70% (>= RM 3,000 gross)	Automated / Standard Underwriting
Credit Policy v1 (Clause 3.1)	2025-01-01 to 2025-12-31	3 or more dependants	RM 1,500	60% (< RM 3,000 gross) / 70% (>= RM 3,000 gross)	Automated / Standard Underwriting
Credit Policy v2 (Clause 3.1)	Effective 2026-01-01	0 to 2 dependants	RM 1,500	60% (< RM 3,000 gross) / 70% (>= RM 3,000 gross)	Automated / Standard Underwriting
Credit Policy v2 (Clause 3.2)	Effective 2026-01-01	3 or more dependants	RM 2,000	60% (< RM 3,000 gross) / 70% (>= RM 3,000 gross)	Automated / Standard Underwriting
Credit Policy v2 (Exception Path)	Effective 2026-01-01	3+ dependants with NDI < RM 2,000	Below RM 2,000 (Non-compliant)	Binding projected DSR breached or compliant	Senior Underwriter Review / Decline